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THE "FREE" PORTAL REFERRAL HAS A PRICE.

A federal lawsuit says it's baked into where you send the loan.

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BUYERS ROUTED TO ONE PORTAL'S IN-HOUSE LENDER PAY MORE.

A new economic analysis puts an exact number on the gap.

THE REFERRAL ONLY HOLDS IF YOU SEND THE LOAN TO THEIR LENDER TOO.

A class action filed by real estate agents alleges Zillow conditioned customer referrals on steering clients into Zillow Home Loans, framed as an unreasonable restraint of trade under Section 1 of the Sherman Act. An economic analysis by Steve Salop, cited in the litigation, found Zillow Home Loans borrowers pay about 10 basis points more on a conventional 30-year mortgage than they would elsewhere, rising to 15 basis points on a net-present-value basis. Zillow disputes the claim and points to faster closings and lender perks. The litigation is active as of September 4, 2026, with no ruling yet. Whatever the outcome, the mechanism is the lesson: a referral tied to where the loan gets placed is not free. The client pays the spread.

BEFORE YOU BUILD YOUR BUSINESS ON A PORTAL REFERRAL:

1. **Read the referral terms for lender conditions.**
   If the lead only counts when you route the loan through an in-house lender, that is not a free referral.

2. **Know what it costs your client.**
   A 10 to 15 basis point spread compounds over the life of a mortgage. Get the number before you recommend the pairing.

3. **Build a lead source with no strings attached.**
   A referral you can send anywhere protects your client and keeps the book of business yours.

THE TAKEAWAY

A REFERRAL WITH CONDITIONS ATTACHED IS A FEE YOUR CLIENT PAYS QUIETLY.

Know the terms before you build a business on them.